# ECON 0100 | Exercise C3 | Corrective Policies

## Q1 | The Effects on Residents

Smoked toffee again, with the (same curves and 3 Galleon externality as Exercise C2).

$$D : P_b = 20 - \frac{1}{2}Q_d \qquad\qquad S : P_s = 2 + Q_s$$

a) This policy had an unintended consequence. The proliferation of smoked toffee makers meant the town saw a subsequent rise in *smoke*. Wood smoke is harmless at low levels, but can cause lung issues at the higher concentrations experienced in Hogsmeade. Use a graph to discuss the unintended effect the tax had on air quality. No need to discuss welfare.

b) Public health officials have estimated the externality to be equal to 3 Galleons per unit of smoked toffee produced. Use a graph to find the socially efficient quantity of smoked toffee and deadweight loss associated with the wood smoke.

## Q2 | Policy Proposal

What type and size of policy would you propose to eliminate the DWL you identified in Q1?

Policy Type: _____ Policy Size: _____

Buyer Price: _____ Seller Price: _____ Post-Policy Quantity: _____

## Q3 | Deadweight Loss Intuition

If the marginal cost of a gallon of gas is $4.00, the negative externality is $1.00, and the marginal benefit is $4.50, what is the deadweight loss?

Deadweight Loss: _____